

Indian electronics and hardware industry growing at 13-16 per cent

The Indian electronics and hardware industry is growing at a CAGR of 13 to 16% and is likely to reach US\$ 112 to 130 billion by 2018 end, according to an ASSOCHAM-Ernst & Young (EY) study. At present, the industry is at a level of about US\$ 75.

According to Milan Sheth, partner and leader-Technology at EY, "The Make in India initiative, combined with global manufacturers looking to relocate their manufacturing base from China to alternate locations such as India, Vietnam and Indonesia due to

mounting labour costs provides a strong impetus to the Indian electronics and hardware industry. It presents an opportunity to become a manufacturing-led sector in India from being predominantly consumption-driven."

However, there are some challenges that need to be met such as ease of doing business, taxation-related issues and the lack of eco system including infrastructure. The industry and the government need to work together, to make the Indian electronics industry highly competitive, notes the report.

On The Move

Panasonic MD Manish Sharma elevated to executive officer rank

Panasonic has promoted their Indian subsidiary's managing director Manish Sharma to executive officer rank, thus including him in the group's top officials in the parent Japanese company that works like a corporate management committee. He will be the first Indian and the fourth non-Japanese to be included in this elite group of 24 members. He is the youngest executive officer for Panasonic at 44. The company also elevated him as president and CEO of Panasonic India.

Coastal economic zone proposed for electronics manufacture

NITI Ayog, the government of India's key body on policy formulation, has proposed setting up of a coastal economic zone and offering a series of reforms there to encourage electronics manufacture under Make in India initiative, through a strategy paper. With input costs for manufacture going up in China, India has an opportunity now to make its presence felt in the global market. But this could perhaps be India's last such opportunity!

According to the strategy paper, a mega coastal economic zone having international-standard infrastructure

should be set up under the Sagarmala project. The zone could be 200 to 250km deep from the coast line. It should have minimal red tape and relatively flexible labour and land acquisition laws.

Companies making large investments of one billion US dollars or above, and creating large employment opportunities of 20,000 or more within the zone, could be given ten-year tax holiday besides some other benefits. NITI Ayog has deeply studied the Chinese model of electronics manufacture and proposed some steps for import substitution as well.

Pune to get an electronics park

Pune is soon going to get an exclusive electronics park, which will be set up over 250 acres of land along the Pune-Mumbai expressway. It will be situated in the area spanning Navi Mumbai, Khalapur, Beur and Talegaon.

According to Sadashiv Survase, joint director (industries), the plan for setting up of the electronics park is in continuation with the electronics policy announced by Maharashtra state government. The policy aims to

expand the electronics industry in Pune and develop the city as a major hub for the sector.

The state government is planning to develop nodes along the expressway. The electronics parks are envisaged to create employment for the skilled as well as semi-skilled workforce. The government is striving to attain a turnover of US\$ 12 billion from the sector by 2020. It also aims to increase its exports from the sector to US\$ 2 billion.

Karnataka launching four technology business incubators

The Karnataka government will be setting up four technology incubators across the state this year, as announced by the state's chief minister, Siddaramaiah,

at the time of presenting their budget on 18th March. He said, "The incubators will be set up in the areas of the Internet of Things, electronics system design and